

value in three years. Also, let's assume that, due to retained earnings and business growth, the intrinsic value increased by a modest 10 percent a year. So, in 1976, the business would be worth over \$33.28 per share ($\$25 \times 1.1 \times 1.1 \times 1.1$), and 90 percent of that is about \$30. If a person bought the stock in 1973 and sold it in 1976, the annualized return would be about 70 percent a year. Let's run the Kelly Formula on this one. Let's assume the following conservative odds:

Odds of making 4 times or better return in three years	80 percent
Odds of making 2 times to 4 times or better return in three years	15 percent
Odds of breakeven to 2 times	4 percent
Odds of a total loss	1 percent

In this case, the Kelly Formula suggests that an investor bet 98.7 percent of the available bankroll on this mouthwatering opportunity. At the time, Berkshire Hathaway had a total market capitalization of about \$60 million. Available cash was likely a small fraction of this number. I'd estimate that Mr. Buffett likely used well over 25 percent of his available bankroll on this bet.

Graham's fixation on margin of safety is understandable. Minimizing downside risk while maximizing the upside is a powerful concept. It is the reason Mr. Buffett has a net worth of over \$40 billion. He got there by taking minimal risk while always maximizing returns. Most of the time, assets trade hands at or above their intrinsic value. The key, however, is to wait patiently for that super-fast pitch down the center.

It is during times of extreme distress and pessimism that rationality goes out the window and prices of certain assets go well below their underlying intrinsic value. Extreme distress can be caused by macro-events like 9/11 or the Cuban missile crisis. Or they can be company specific—for example,